Government Institutions

NITI Aayog

NITI Aayog (National Institution for Transforming India) is the **policy think tank** of the Government of India, established on **January 1, 2015**, to replace the Planning Commission. It focuses on **strategic and long-term planning** for economic growth, innovation, and sustainable development.

Objectives of NITI Aayog

- Promote **cooperative federalism** by involving states in policy-making.
  Example: Helps states improve healthcare, education, and infrastructure in backward districts through a ranking-based system, motivating them to perform better.
- Develop **long-term policies and strategies** for India's progress.
  Example: A digital framework for the healthcare sector, which led to the creation of Ayushman Bharat Digital Mission for universal health coverage.
- Encourage **technological innovation and entrepreneurship**.
  Example: Set up Atal Tinkering Labs (ATLs) in schools to encourage STEM-based learning, leading to innovative student projects.
- Monitor and evaluate **government programs** for better implementation.
  Example: NITI Aayog evaluates states based on their healthcare infrastructure and service delivery, pushing for improvements.
- Focus on **inclusive and sustainable development**.
  Example: Promotes electric vehicles, leading to initiatives like FAME (Faster Adoption and Manufacturing of Hybrid and Electric Vehicles).

Features of NITI Aayog

- **Bottom-up Approach** – Encourages state-level participation in national development.

  Example: The **Aspirational Districts Programme (ADP)** focuses on **backward districts** by providing **customized development plans** instead of a one-size-fits-all model.
- **Advisory Role** – Provides recommendations for policy reforms.

  Example: Ease of Doing Business Rankings – States compete to improve their business environment, boosting investments and economic growth.
- **Data-Driven Governance** – Uses research and analytics for decision-making.

  Example: NITI Aayog played a major role in designing **Atal Innovation Mission (AIM)** to promote **entrepreneurship and startups**.
- **Focus on Innovation** – Implements programs like the **Atal Innovation Mission (AIM)**.
- **Encourages Competitive Federalism** – Ranks states on performance indicators.

7 Pillars of NITI Aayog

Verticals of NITI Aayog

NITI Aayog is structured into multiple **verticals (departments)** that focus on different aspects of India's policy planning, governance, and development. These verticals help in the effective implementation of **socio-economic reforms, infrastructure development, innovation, and sustainable growth**.

- Policy & Knowledge Vertical
- Atal Innovation Mission (AIM) Vertical
- Agriculture & Allied Sectors Vertical
- Governance & Program Implementation Vertical
- Energy & Resources Vertical
- Industry & Manufacturing Vertical
- Health & Nutrition Vertical
- Education & Skill Development Vertical
- Sustainable Development Goals (SDGs) Vertical
- Economic & Finance Vertical

Achievements of Project Sath-E

Project SATH-E (Sustainable Action for Transforming Human Capital in Education) was launched by **NITI Aayog** in **2017** to improve the quality of school education in India. The project was implemented in **three states – Jharkhand, Madhya Pradesh, and Odisha** – to develop **model school systems** that could be replicated across the country.

1. **Improved Learning Outcomes**

Example:

- The project introduced Foundational Literacy and Numeracy (FLN) programs, helping students perform better in maths and language subjects.
- Jharkhand saw a 10% improvement in students' basic reading skills

Achievements of Project Sath-E

2. Teacher Training & Capacity Building:

Example:

More than 2 lakh teachers were trained in modern pedagogy, digital tools, and activity-based learning.

In Madhya Pradesh, a new teacher mentoring system helped improve teaching effectiveness in government schools.

3. **Use of Technology in Education:**

Example:

Odisha introduced smart classrooms with interactive learning tools.

Jharkhand launched digital attendance systems to track student and teacher attendance.

Achievements of Project Sath-E

4. **Strengthening School Leadership:**

Example:

Madhya Pradesh started a leadership development program for school principals, improving governance in over 1,000 schools.

5. Policy Recommendations for Nationwide Implementation:

Example:

Best practices from SATH-E were shared with all Indian states to improve government school systems.

Several recommendations were included in the National Education Policy (NEP) 2020.

Ministry of Corporate Affairs:

The **Ministry of Corporate Affairs (MCA)** is responsible for regulating corporate governance, ensuring compliance with company laws, and overseeing the business environment in India. It manages corporate affairs through **several affiliated offices and organizations** that specialize in different areas of business regulation, fraud investigation, and corporate governance.

Serious Fraud Investigation Office (SFIO):

Investigation of serious financial frauds and corporate misconduct. Established in 2003 and Operates under Section 212 of the Companies Act, 2013.

The main objective of

Investigates complex fraud cases involving public interest.

Coordinates with CBI, ED, SEBI, and RBI for fraud detection.

Conducts forensic audits and prosecutes fraudulent companies.

Ministry of Corporate Affairs:

Competition Commission of India (CCI):

Preventing anti-competitive practices and promoting market fairness. Established in 2003 (became fully operational in 2009) and Governed by The Competition Act, 2002.

The main objective of

Prevents monopolies & unfair trade practices.

Regulates mergers & acquisitions (M&As) to ensure fair competition.

Protects consumer interests by stopping cartelization and price fixing.

Ministry of Corporate Affairs:

Indian Institute of Corporate Affairs (IICA):

Corporate governance research, training, and policy advisory. Established in 2008.

The main objective of

Provides training for corporate professionals, directors, and government officials.

Conducts research on corporate governance, ethics, and CSR (Corporate Social Responsibility).

Advises on policy reforms for better business regulations.

Securities and Exchange Board of India: Functions and Powers of SEBI

The **Securities and Exchange Board of India (SEBI)** is the regulatory authority for the **securities market** in India. It ensures investor protection, fair trade practices, and the smooth functioning of stock exchanges.

Functions of SEBI

- **Regulatory Functions (Controls & Supervises the Market)**
- Regulates stock exchanges and financial intermediaries (brokers, depositories, portfolio managers).
- Enforces transparency in **IPOs (Initial Public Offerings) & stock market transactions.**
- Oversees **mutual funds and credit rating agencies** (e.g., CRISIL, ICRA).
- Establishes **corporate governance norms** for listed companies.

Securities and Exchange Board of India: Functions and Powers of SEBI

Developmental Functions (Promotes Market Growth)

- Encourages **technology adoption** in stock markets (online trading, UPI-based IPOs).
- Simplifies **investment procedures** for domestic & foreign investors.
- Promotes **financial literacy & investor awareness programs.**

Protective Functions (Protects Investor Interests)

- Prevents **insider trading** and unfair market practices.
- Regulates **buybacks and mergers** to ensure transparency.
- Conducts **investor education programs** to reduce financial fraud.

Powers of SEBI

Quasi-Judicial Powers

Can **investigate frauds and insider trading cases.** Has the authority to **impose penalties and fines** on violators.

Example: SEBI banned **Sahara Group** from raising public money due to financial fraud.

Quasi-Legislative Powers

Can make rules and regulations for **stock markets, IPOs, and mutual funds.**
Issues **guidelines for corporate governance and investor protection.**

Example: SEBI introduced **Listing Obligations & Disclosure Requirements (LODR)** to improve corporate transparency.

Powers of SEBI

Quasi-Executive Powers

Can **conduct inspections, audits, and investigations** into financial irregularities.
Can **suspend or cancel licenses** of brokers and stock exchanges.

Example: SEBI **suspended Karvy Stock Broking Ltd.** for misusing client funds.

Reserve Bank of India: Main Functions of RBI

The **Reserve Bank of India (RBI)** is India's **central bank**, responsible for **monetary policy, currency issuance, banking regulation, and financial stability**. It plays a crucial role in controlling inflation, managing the economy, and ensuring a robust banking system.

Main Functions of RBI:

Monetary Policy Implementation

Controls **inflation and liquidity** in the economy using monetary tools. Uses **Repo Rate, Reverse Repo Rate, CRR, and SLR** to regulate money supply.

Reserve Bank of India: Main Functions of RBI

Issuer of Currency:

RBI **prints and manages** currency notes except for ₹1 (issued by the Government of India). Ensures **adequate money supply** and prevents counterfeit currency.

Banker to the Government:

Manages **government accounts and debt** (issues bonds, treasury bills). Handles **foreign exchange reserves** and international payments.

Regulator of Banks and NBFCs:

Sets **guidelines for banking operations** (capital requirements, loan policies). Conducts **audits and inspections** to ensure banking stability. Protects **depositors through deposit insurance (DICGC scheme)**.

Reserve Bank of India: Main Functions of RBI

Foreign Exchange & Forex Reserves Management

Maintains **exchange rate stability** and manages India's **foreign currency reserves**. Regulates **FOREX markets** under **FEMA (Foreign Exchange Management Act, 1999)**.

Financial Inclusion & Digital Payments Regulation

Promotes **UPI, NEFT, RTGS, and digital banking** for financial inclusion. Regulates **NBFCs, fintech startups, and payment banks**.

Lender of Last Resort

Provides **emergency funds to banks** facing liquidity crises. Prevents **bank failures** and ensures public confidence in the banking system.

Insolvency and Bankruptcy Board of India

The **Insolvency and Bankruptcy Board of India (IBBI)** is the **regulatory authority** for insolvency and bankruptcy proceedings in India. It ensures a smooth and time-bound resolution of financial distress faced by companies, individuals, and partnership firms.

Functions of IBBI:

Regulates and Enforces the Insolvency and Bankruptcy Code (IBC), 2016

Ensures **time-bound insolvency resolution** for companies and individuals. Oversees the **Corporate Insolvency Resolution Process (CIRP)** and liquidation process.

Regulates Insolvency Professionals & Agencies

Licenses and regulates **Insolvency Professionals (IPs)** who manage distressed companies. Oversees **Insolvency Professional Agencies (IPAs)**, which train and certify insolvency experts.

Insolvency and Bankruptcy Board of India

Supervises Information Utilities (IUs)

Information Utilities **store financial data of companies and individuals**. Helps lenders access accurate debt and default records.

Frames Regulations for Insolvency Resolution

Issues guidelines for **liquidation, voluntary bankruptcy, and insolvency resolution.** Ensures fair valuation and asset distribution during insolvency proceedings.

Monitors & Enforces Compliance

Investigates **misconduct of insolvency professionals and agencies**. Imposes **penalties and suspensions** for non-compliance with IBC rules.